the election had conducted in-depth studies of sixty-four state agencies and confirmed what I had suspected: Many were run in such an old-fashioned and inefficient fashion that they wouldn't survive in the real world outside government for more than a few weeks.

Giving of their time month after month, sometimes to the detriment of their own businesses, members of our task forces (who dubbed themselves "Reagan's Raiders" and had cuff links made with a replica of my head on them) helped implement thousands of recommendations to upgrade the efficiency of the state departments.

They saved taxpayers hundreds of millions, possibly billions, of dollars, often simply by incorporating into the state government the most basic modern business practices found in any forward-looking business.

This project, incidentally, taught me something about the psychology of audiences.

As we started to make some headway in trimming costs, I began telling the public about the savings we were making and I learned it can be difficult for many people to envision a hundred million dollars or even one million for that matter.

I'd mention an example of something we'd done that saved several million dollars and would get a glassy stare and polite applause.

But during one speech to a group of business and professional people in San Francisco, I happened to mention that we'd been able to save about $200,000 by sending motorists their annual automobile registration renewal notices several weeks earlier than in the past; postal rates were going up and so we rushed to do our mailing before the increase went into effect. Well, after I said that, the audience came to their feet with a roar of approval. Two hundred thousand dollars they could visualize. Two hundred million, they couldn't.